PAYTM

TROUBLE@PAYTM

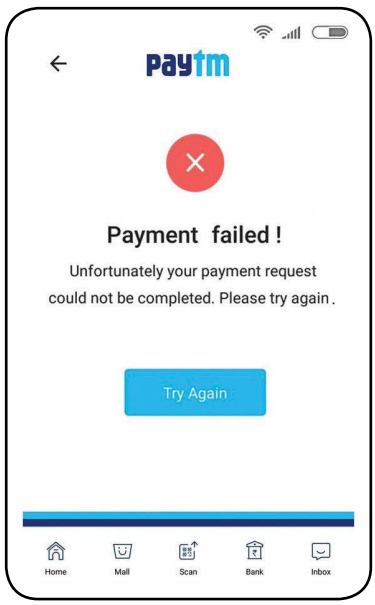
By M.G. Arun

It's an hour of reckoning for financial services firm Paytm, often touted as the poster boy of India's digital payments revolution. On January 31, the Reserve Bank of India (RBI) asked Paytm Payments Bank Limited (PBPL) to stop new credit and deposit operations, top-ups, fund transfers and all other banking operations by February 29. Customers will only be allowed to withdraw their balances from their accounts with PBPL.

Paytm's payment bank hosts over 330 million wallet accounts, says financial advisory firm Macquarie. The RBI order means even existing Paytm customers cannot carry out basic banking operations like credit, deposits, fund transfers, UPI transactions, bill payments, user wallets and FASTag payments, the last a space where Paytm has nearly 17 per cent market share and some 60 million users. For FY23, Paytm had posted Rs 7,990 crore in revenues.

The RBI missive comes 10 months after it banned PBPL from "onboarding" new customers as the central bank found "material supervisory concerns" at the firm. The RBI had then instructed the bank to appoint an IT audit firm for its systems, following which, the central bank said, external auditors revealed "persistent non-compliances and continued material supervisory concerns in the bank, warranting further supervisory action", though it did not divulge any detail.

This is not the first time Paytm has run against a regulatory wall. The RBI has pulled up the bank on at least four occasions on various charges of violations in licensing conditions, submitting false information, lapses in technology and cyber security. In October 2023, the central bank even imposed a penalty of Rs 5.39 crore for "continued non-compliance" with KYC norms.



PPBL, promoted by Vijay Shekhar Sharma in 2010, started operations as a payments bank in May 2017, a few months after the demonetisation exercise of the Narendra Modi government. One of the purported objectives of demonetisation was the formalisation of the economy by onboarding large sections of the unbanked population into the banking system through modes such as payments banks. Payments banks operate on a smaller scale than commercial banks and can carry out most banking operations other than advancing loans or issuing credit cards.

In a research note on January 31, Macquarie analysts Ganapath and Punit Bahlani observed: "Given the severe restrictions imposed on PBPL, we believe it significantly hampers Paytm's ability to retain customers in its ecosystem, and accordingly restricts it from selling payment products and loan products. We think revenue and profitability implications in the medium to long term could be significant and remain a key item to monitor." Analysts do not see a near-term solution to Paytm's problems, as the RBI seems to have made its move after a comprehensive IT audit and had found the lapses quite material. The shares of One 97 Communications, Paytm's parent firm listed on the exchanges, fell 10 per cent on February 5 on the BSE to close at Rs 438.35, the lowest price in a year (from a high of Rs 998.30 on October 20, 2023). Media reports said that in just three days, the stock had tumbled over 42 per cent, leading to an erosion of Rs 20,471.25 crore in the firm's market capitalisation.

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The damage to the brand seems beyond repair, at least for now. The RBI's move, in the view of the Macquarie analysts, effectively amounts to "indirectly revoking the PPI (pre-paid instrument) licence of Paytm". According to company officials, there are primarily two lines of businesses for PPBL. It has a profitable wallet service for general customers. It also offers payment services to merchants, both online and offline, for a fee.

Paytm says it has no details of what the RBI found wrong in the IT audit. In a conference call with market analysts on February 2, Sharma said, "There are obviously RBI's beliefs, and we totally (believe)...there is something RBI would have seen. Have they sent us details? Answer is no (sic)." One97 Communication, meanwhile, has said it will dissociate from PPBL and partner with other banks for its UPI service. Paytm had become a doing word—'Paytm Karo'. Now, it seems done in. ■